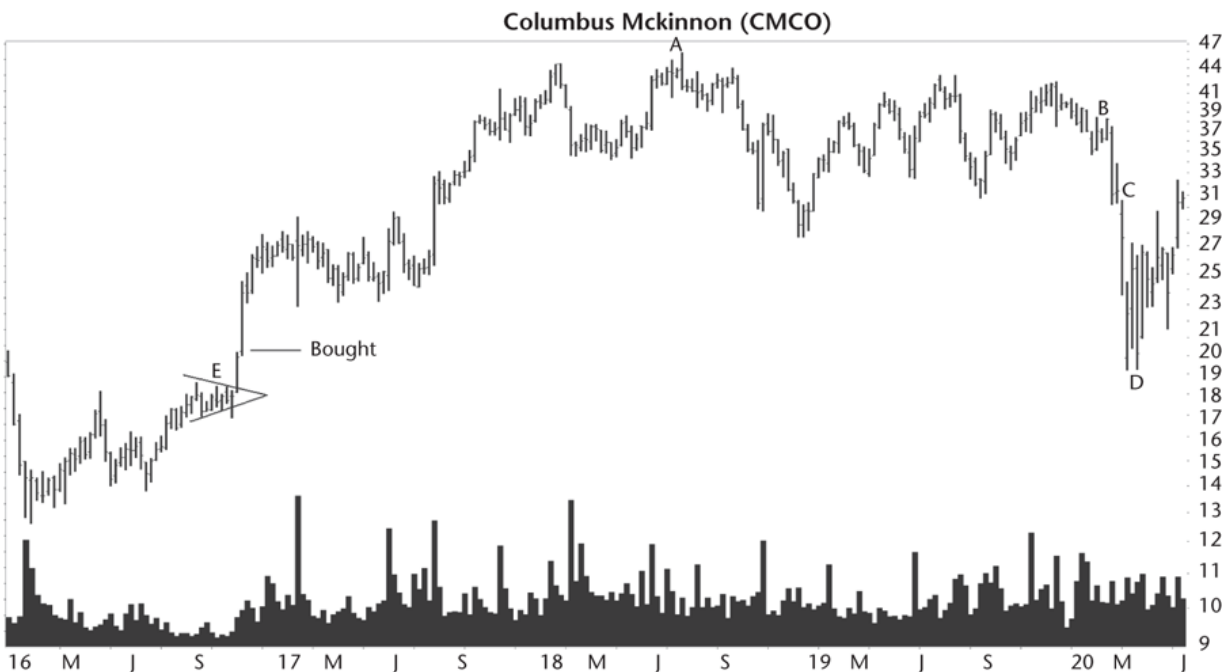


Sample Trade

Consider the situation Doug faced in [Figure 44.4](#). When the stock broke out of a congestion region in late 2016 (E, looking like a symmetrical triangle), he bought the stock and received a fill of 20.22 in early November.

In December 2019, the stock made another peak, but it was below the prior ones made since late 2017 (the three highest peaks on the chart). The stock looked tired. From September 2017 until 2020, the stock had moved sideways to down during that time. That sideways move is common for stocks that need a rest after having made big moves upward.

In this case, the stock almost tripled off the January 2016 low of 12.62. “I thought the stock had entered a coma.”



[Figure 44.4](#) Two horn tops and Covid-19 convinced Doug to sell his holding during the bear market drop of 2020.

In the early months of 2020, he heard about the Covid-19 virus spreading across the world and he studied the implications. “I didn't like what I learned.”

When the horn top appeared at B, he wasn't too concerned. Covid-19 was getting worse, but the stock market was holding up just fine and so was his stock.